EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Camalaniugan is classified as a fourth-class municipality covering an area of 76.50 square kilometers or 29.54 square mile, which constitutes 0.81% of Cagayan's total area. Its area is distributed among twenty-eight (28) barangays. Seven (7) are classified as urban barangays, and the remaining twenty-one (21) as rural barangays. Dammang Sur and Dammang Norte have the biggest land area among the twenty-eight (28) barangays.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Camalaniugan for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality, in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	524,628,848.94	487,535,269.65	37,093,579.29
Liabilities	91,938,829.30	91,067,342.63	871,486.67
Government Equity	432,690,019.64	396,467,927.02	36,222,092.62
Financial Performance			
Income	187,828,643.63	159,447,568.34	28,381,075.29
Expense	167,842,641.71	147,580,506.66	14,901,255.42
Net Income	19,986,001.92	11,867,061.68	8,098,907.57

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Acquisition of various lots for the implementation of various developmental projects for CY 2025	₱10,990,510.00
Construction of Tilapia Hatchery in Dammang Norte	9,542,472.87
Acquisition of patient transport vehicle	2,300,000.00
Construction of RHU Laboratory	1,987,630.00
Total	**₱24,820,612.87**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the Municipality of Camalaniugan, Cagayan as at December 31, 2025.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Actual cash transfer of the unexpended/unobligated balance of the Quick Response Fund and Disaster Risk Reduction Management Fund-Maintenance and Other Operating Expenses for CY 2025 amounting to P4,406,212.30 were not transferred to the Special Trust Fund, contrary to the provisions of Section 21 of Republic Act No. 10121 and COA Circular No. 2012-002 dated September 12, 2012, thereby, defeating the purpose of providing funds to support disaster risk reduction and management activities in the next five years.

   We recommended the following:

   a. Immediately transfer the cash representing the unexpended/unobligated balance of the QRF and Mitigation Fund-MOOE for CY 2025 totaling to P4,406,212.30 and the noted balance in the Subsidiary Ledger of the Trust Liability -DRRM account amounting to P119,796.68; and

   b. Ensure that all future cash representing the unexpended/unobligated balance of the QRF and Mitigation Fund – MOOE are transferred to the Special Trust Fund in a timely manner to comply with the provisions of Republic Act No. 10121 and COA Circular No. 2012-002 dated September 12, 2012.

2. The project on the Construction of Multi-Purpose Building-Phase 1 amounting to P14.705 million was suspended since July 11, 2025 due to a lot dispute with a third party, which could have been avoided if properly planned during the procurement planning, as required in Section 7 of the 2016 Revised Rules and Regulations of Republic Act No. 9184, thus, resulted to additional expenses and wastage of government resources and deprived the constituents of the supposed benefits to be derived therein.

   We recommended the following:

   a. Ensure that all projects for implementation are constructed within the properties of the agency;

   b. Conduct detailed engineering and feasibility study before procurement process which will have better impact to the constituents; and

   c. Ensure that the propriety of management and utilization of funds, as well as efficiency, economy, and effectiveness of implementation of programs/projects are observed, pursuant to Section 7 of the 2016 Revised Rules and Regulations of Republic Act No. 9184.

G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

All the fifteen (15) audit recommendations in the CY 2024 Annual Audit Report were fully implemented by the Municipality as at December 31, 2025.